

only own 3% of this. I wanted to spend some of the \$ I have collecting almost no interest.”

The word “Possible” is a warning. The cup never broke out upward, at least not before I bought. The stock retraced its gains, dropped as low as 12 cents above the bottom of the cup, and recovered.

During July 2010, I worried over the stock. “5 July. I don't know what to do with this stock. I can see it going down to 2. One insider bought at \$5.94, 41k shares, and the stock is about a buck lower. If this breaks support at 4.18, then it's a sell. I put a [conditional order] to sell at 4.13, until 6 September 2010. The price is just below the low in February.”

From 7 July to a week later, I raised the stop almost daily. “I am canceling the stop because the market wants to go higher and this still has great upside potential.”

The stock formed another cup throughout 2010, another in 2011–2012, and finally broke out upward in the summer of 2012.

The stock moved higher, not a straight-line run upward, but a nice climb nonetheless. My notes to the buy said the stock targets were 8, 10, 17, and 20. I bought at 6.52, and when the stock started moving up, it was at about 8.50 (it had pierced the resistance at 8). The stock paused at 10 (as predicted), blew past 17 to reach 19 where it retraced, and moved sideways with a floor of about 16.

Fast forward to 26 September 2015. “Sell reason: Diversification. Zacks says the company is overloaded with debt, and another broker report says debt is above industry average. If this stock should DCB [dead-cat bounce], it would be a tragedy, but it only makes up 8% of my portfolio. Nonetheless, it's time to sell a bit. The stock hasn't done anything since 2014, so maybe it's time to find something that will do well going forward.”

I made 195% on the trade, almost the triple I was looking for.

- Lesson: Sometimes mistakes turn out well.
- Lesson: If a stock isn't performing as expected, consider selling but also recognize that stocks need time to regroup before moving higher, especially after sharp gains.